Al-Ahsa Private International Early Years Schools

Investment Opportunity – Early Years

EDUCATION

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Al-Ahsa Private International Early Years Opportunity

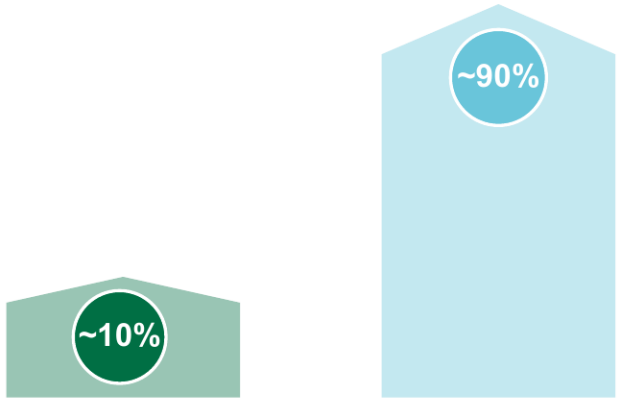
OPPORTUNITY DESCRIPTION: Invest in KSA's education sector by establishing high-quality, Private International Early Years centers in Al-Ahsa

OPPORTUNITY OVERVIEW

Adoption of Early Years in Al-Ahsa

The Early Years GER* in Al-Ahsa **is low (~10%);** KSA government has set targets to **increase the GER* to ~90% across the Kingdom by 2030,** outlining headroom for growth

Early Years Adoption in KSA



Early Years GER* (AY20), Al-Ahsa

Kingdom wide Target Early Years GER*

Total Pvt. Int'l EY Enrolment, Al-Ahsa



AY20 AY30F

Al-Ahsa Early Years Market Overview

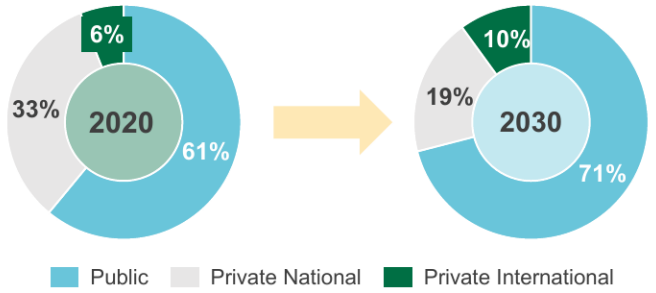
Private International is one of the **fastest growing** segments in Al-Ahsa* Early Years market

Al-Ahsa EY Enrolment CAGR (AY14-20), by ownership



Private International segment's enrolment share is expected **to reach ~10% in 2030** based on **historical growth rates**

Share of EY enrolment in Al-Ahsa by ownership



Growth Drivers and Market Outlook

There're multiple growth drivers for EY centers in Al-Ahsa

1. **Growing relevant age population (~2.5% growth p.a.)** from 2010 till 2019

2. **Investment Development projects**
Al-Ahsa is a city with potential for future growth and development, located in a strategic position between the Eastern Province and the Arabian Gulf. This promotes the city as a gateway to important trade routes and regional markets. Al-Ahsa is still a relatively untapped city compared to other parts of Saudi Arabia. This reflects that there are significant opportunities for future growth and development.

~31K
Additional students to be accommodated in new private Int'l Early Years centers in Al-Ahsa by 2030F

~312
New private Int'l EY centers to be set-up in Al-Ahsa by 2030F *(assuming a scale of 100 students per center)*

~SAR 2.2 - 3.1B
Estimated Investment required *(assuming ~SAR 7-10M capital outlay per center)*

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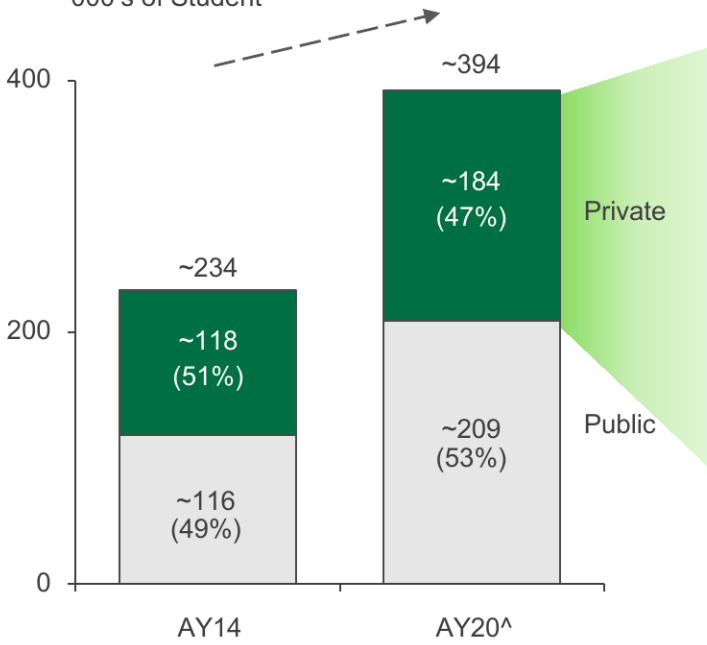
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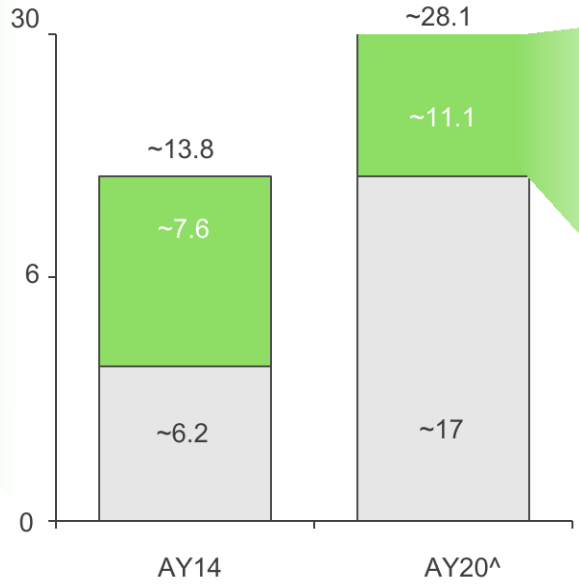
Al-Ahsa EARLY YEARS MARKET OVERVIEW

Al-Ahsa International EY Market Dynamics

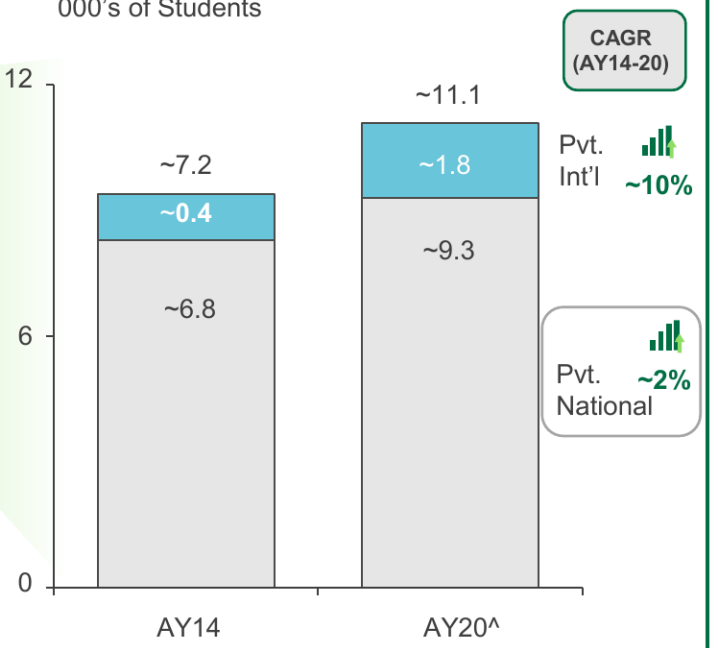
EY enrolment in KSA, by ownership; (AY14-20)
000's of Student



Private EY enrolment, Al-Ahsa, vs Public; (AY20)
000's of Student



Pvt. EY enrolment in Al-Ahsa, by curriculum; (AY14-20)
000's of Students



The low adoption in the KSA early years market coupled with ambitious GER target of ~90% by 2030 highlights the strong headroom for growth in the market

Al-Ahsa private schools accounts for ~39% of total EY enrolment

Private International EY schools have grown faster within the Private EY market in Al-Ahsa

ıy in KSA; ^ AY21 has not been showcased due to one-off impact on enrolments due to ongoing pandemic

Data

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Definitions

#	SCORECARD SECTION	DEFINITIONS
1	Market size	Size of market in value/volume in KSA and/or Region (MENA/GCC) covering future projections based on available estimates from published /government sources
2	Business drivers	A select number of factors that will influence future demand for the related product/service
3	Investment highlights	An overview of key financial metrics summarizing the investment opportunity along with the expected return based on the suggested investment size
4	Value proposition	Summary of key differentiators that position KSA as a strategic choice over other regional/global peers
5	Market readiness	An overview of KSA market structure, market maturity and level of participation by local and global players
6	Global trends	Latest business developments within the sector/product category
7	Scalability and localization	Ease of scaling the business across the value chain or into new adjacent products or geographies that would maximize the opportunity's investment returns and the ability and potential to locally manufacture the product and its components
8	Import dependency	An overview of the countries from which Saudi Arabia is importing the product and their value/volume and share in total imports
9	Value chain analysis	The process or activities that would potentially need to be carried out to deliver the underlying product or service
10	Key stakeholders	Government institutions, organizations, and/or authorities that participate or influence the market for the underlying product/service
11	Enablers	Factors that enable investment in the underlying opportunity
12	Cost of doing business in KSA	Key factors that position KSA as a competitive destination for investment in the region. Productivity adjusted wages do not include cost of $1.23/hour towards annual recurring charges including work permit, resident identity (iqama) and health insurance

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